

MARKET SURVEY:

Powering Up the Solar Sector in India: An Outlook



Sudestha Das is senior executive editor at EFY

India has an ambitious goal of installing 100GW of solar energy capacity under the Jawaharlal Nehru National Solar Mission (JNNSM) by 2022, thereby redefining the earlier target of 20GW for the same period. The target will principally comprise 40GW of rooftop and 60GW of large- and medium-scale grid-connected solar power projects. On achieving this target, India would emerge as one of the largest green energy producers in the world, surpassing several developed countries.

Such an ambitious target calls for huge capital investments, in the tune of ₹ 6 trillion. In addition, solar power projects requiring investments of about ₹ 900 billion are planned to be bundled along with thermal power projects. Typical investors would include large public sector undertakings (PSUs) and independent power producers. State governments have also come out with state-specific solar policies to promote addition of solar capacity.

Solar growth drivers

As part of this ambitious goal, India's total grid-connected solar capacity crossed 3GW in December 2014, though only a paltry 886MW was added during 2014. This resulted in another dismal year of less than 1GW installation. The Ministry of New and Renewable Energy (MNRE) announced that India crossed the 1GW mark in July 2012 and the second GW mark in August 2013. Policy and regulatory uncertainties ensured that it took an inordinately long time for the third GW mark to be completed.

While the first half of 2014 was full of uncertainty and indecision due to the elections, action picked up in the second half, which facilitated the creation of a good foundation for a promising 2015. The MNRE started the process of allocation of 3GW worth of solar projects under state-specific programmes.

Several central PSUs and government organisations are also in the process of set-

